

# CONTRACTOR EQUITY STRUCTURE PACKAGE

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## PART I – CONTRACTOR EQUITY ELECTION FORM

This Contractor Equity Election Form ("Election") is entered into as of [DATE], by and between:

**Contractor Name:** \_\_\_\_

**Company:** 237\_Ville Development Group LLC

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### 1. CONTRACT DETAILS

Scope of Work: \_\_\_\_

**Total Contract Amount:** \$\_\_\_\_

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### 2. PAYMENT ELECTION

Contractor elects the following structure:

- Cash Payment During Project: \$\_\_\_\_
- Deferred Amount (to be invested): \$\_\_

Total must equal contract amount.

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### 3. EQUITY CONVERSION

The Contractor agrees that the deferred amount shall be:

- Converted into a **Class C Membership Interest**
  - Treated as a capital contribution
  - Subject to the Company's Operating Agreement
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### 4. DISTRIBUTION RIGHTS

Contractor shall:

- Participate in the distribution waterfall
- Receive preferred return (if applicable)

- Receive profit share based on ownership percentage
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## 5. RISK ACKNOWLEDGMENT

Contractor understands and agrees:

- Deferred compensation is **at risk**
  - Payment depends on project performance
  - No guaranteed return or repayment
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## 6. TAX ACKNOWLEDGMENT

Contractor acknowledges:

- They may incur tax obligations on earned income
  - They are responsible for consulting their own tax advisor
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## 7. NO EMPLOYMENT RELATIONSHIP CHANGE

This agreement does not alter the independent contractor relationship.

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## 8. SIGNATURES

Contractor Signature: \_\_\_\_

**Date:** \_\_\_\_

Manager (Njinko's Development Group LLC): \_\_\_\_

**Date:** \_\_\_\_

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# PART II – CONTRACTOR TRACKING SYSTEM (FOR DASHBOARD)

## TABLE: CONTRACTOR CONTRIBUTIONS

Each row = one contractor per deal

Columns:

- Contractor Name
  - Trade (e.g., foundation, framing)
  - Total Contract Value
  - Cash Paid
  - Deferred Amount (Equity)
  - Contribution Type (Class C)
  - Ownership % (Deferred ÷ Total Equity)
  - Pref Earned
  - Profit Share
  - Total Payout
  - Status (Active / Completed / Paid)
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## CALCULATION LOGIC

1. Ownership % = Deferred Amount ÷ Total Equity Pool
  2. Pref Earned = Deferred Amount × Pref % × (Hold Months ÷ 12)
  3. Profit Share:
  4. Included in Class A pool unless separated
  5. Based on ownership %
  6. Total Return: Deferred Amount + Pref + Profit Share
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## IMPORTANT TRACKING NOTES

- Keep contractor equity separate from cash investors in backend
  - Tag all Class C participants clearly
  - Track unpaid balances separately (do NOT mix with equity)
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## OPTIONAL (ADVANCED)

You can add:

- "Hybrid" flag (partial cash / partial equity)
  - Performance bonuses for early completion
  - Penalties for delays
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## **SYSTEM INTEGRATION**

This structure integrates directly with:

- Your Investor Dashboard
- Your Deal Calculator

Both Class A (cash) and Class C (contractor) feed into the same waterfall.

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## **END OF DOCUMENT**